

“investing” meant something very different: the purchase of financial assets that by their intrinsic nature satisfied the requirements of conservatism, prudence, and above all, safety. In particular, investing was differentiated from “speculating,” a word we rarely hear these days.

Among the online definitions for “speculation,” I found secondary definitions like this one: “to engage in any business transaction involving considerable risk or the chance of large gains, especially to buy and sell commodities, stocks, etc., in the expectation of a quick or very large profit” (dictionary.com). To me, that definition doesn’t provide a sufficient sense for what distinguishes speculating from investing. I think it’s more helpful to look to primary definitions for “speculation” that aren’t confined to the word’s application in investing: “to think about something and make guesses about it: to form ideas or theories about something usually when there are many things not known about it” (<https://www.britannica.com/dictionary>) and “reasoning based on inconclusive evidence; conjecture or supposition” (thefreedictionary.com). Perhaps a full appreciation for the word can best be derived from some of the synonyms offered by Merriam-Webster: “chance,” “gamble,” “flier,” and “crapshoot.”

In Graham and Dodd’s day, securities qualified for investment on the basis of quality, not prospective return. They either were of high-enough quality to be eligible for investment or they weren’t. In the extreme, there were hard-and-fast rules, such as those promulgated by each of the states for its savings banks. In New York, for example, savings banks could buy railroad, gas, and electric bonds, but not the bonds of streetcar railway or water companies. Bonds secured by first mortgages on real estate qualified as investments, but—startlingly—industrial bonds did not.

Investments that hewed to the accepted standards were considered “safe” (and probably litigation-proof for the fiduciary who bought them), while speculating was chancy. It was this rigid, exclusionary,